Clause 3.3

Tariff — Applicability to Professionals & Categories

1 case, in chronological order:

SCJ-133 Tehsil Bar Association, Sadar Tehsil Parisar, Gandhi Nagar, Ghaziabad v. U.P. Power Corporation Limited And 3 Others **2023**

Tehsil Bar Association, Sadar Tehsil Parisar, Gandhi Nagar, Ghaziabad v. U.P. Power Corporation Limited And 3 Others

Allahabad High Court · Division Bench · 3 August 2023 · 2023:AHC:155009-DB · WRIT - C No. 2637 of 2023 · **Writ petition allowed; respondents directed to bill electricity consumption in advocates' court-premises chambers under rate schedule LMV-1 (domestic)**

HEADNOTE

The legal profession is not a 'commercial activity' for electricity tariff purposes — following a long line of authority (Dr. D.M. Surti v. State of Gujarat; V. Sasidharan v. M/s Peter and Karunakar; M.P. Electricity Board v. Shiv Narayan) holding that a professional activity carried on through personal skill, intelligence and individual characteristics is fundamentally distinct from a commercial activity, an advocate's chamber cannot be billed under a non-domestic/commercial rate schedule (LMV-2) merely because the residuary Clause 13 of the tariff schedule assigns unclassified consumers to LMV-2. Since Clause 3.3(e) of the U.P. Electricity Supply Code, 2005 already recognises that professionals (including lawyers) using up to 50 sq. m. of residential space for professional/consultancy work do not attract non-domestic tariff, and long-standing licensee circulars (1983, 1985) classified lawyers' offices as LMV-1, an advocate's chamber — even one located within a court compound rather than a residential building — must be billed under rate schedule LMV-1 (domestic), not LMV-2, and licensees within the same State (governed by the same Electricity Regulatory Commission-approved rate schedule) cannot discriminate between similarly situated advocates' chambers in different court compounds.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::3.3(e)

Electricity consumption in lawyers' chambers within a court compound must be billed under the domestic rate schedule (LMV-1), not the commercial/non-domestic rate schedule (LMV-2), since the legal profession is not a commercial activity and the residuary 'not covered under any rate schedule' clause (assigning unclassified consumption to LMV-2) cannot override this classification

QUESTION

Should electricity consumed in advocates' chambers located within a court compound be billed under the commercial/non-domestic rate schedule LMV-2 (on the theory that lawyers' chambers are not expressly listed under any rate schedule and thus fall into the residuary LMV-2 category), or under the domestic rate schedule LMV-1?

HOLDING

LMV-1 (domestic) applies, not LMV-2. Applying the noscitur a sociis principle (Dr. D.M. Surti v. State of Gujarat) that associated words take their colour from one another, LMV-2's illustrative list (shops, hotels, restaurants, cinemas, commercial/trading establishments, etc.) reflects purely commercial/trading activities, which the legal profession — carried on through personal skill, intelligence, and individual characteristics, and traditionally prohibited from advertising or profit-sharing arrangements by Bar Council rules — is not (Dr. D.M. Surti; V. Sasidharan v. Peter and Karunakar; M.P. Electricity Board v. Shiv Narayan; Sudha v. President, Advocates Association Chennai; Ramanathan v. State of Kerala; Sakharam v. Nagpur Corporation; Arup Sarkar v. CESC). Clause 3.3(e) of the Supply Code already recognises professionals' (including lawyers') use of residential space for practice as not attracting non-domestic tariff, and pre-existing licensee circulars (28.11.1983 and 8.10.1985) classified lawyers' offices as LMV-1; while the current tariff schedule's rate-classification list does not expressly enumerate 'lawyers' chambers,' the residuary Clause 13 (assigning unclassified LMV consumers to LMV-2) cannot be applied where the activity in question is affirmatively non-commercial. The fact that the chambers are located within a court compound rather than a residential building does not change this analysis, since the court compound is itself part of judicial premises historically billed at LMV-1. Discrimination between advocates' chambers in different court compounds within the same State, where a single Electricity Regulatory Commission-approved rate schedule applies uniformly, is impermissible regardless of which distribution company serves a given district. ¶ paras 8-38

LIMITING FACTS

Advocates' chambers in the Tehsil Sadar court compound, Ghaziabad, were billed at commercial (LMV-2) rates despite (a) a prior writ order (2019) recognising LMV-1 applicability to similar chambers, (b) RTI disclosures showing the meters were categorised as domestic, and (c) similarly situated advocates' chambers at the Gautam Budh Nagar district courts (served by a different distribution company) being billed at LMV-1; the licensee's 2019 and 2023 orders relied on the residuary Clause 13 to justify LMV-2 billing, citing the absence of an express lawyers'-chambers category in the current rate schedule.

PRINCIPLE TAGS

legal-profession-not-commercial-activity-for-tariff Establishes that the legal profession, being a professional (not commercial) activity, cannot be billed under the non-domestic/commercial LMV-2 tariff merely because the current rate schedule lacks an express 'lawyers' chambers' category and a residuary clause would otherwise sweep it into LMV-2 — an important tariff-classification precedent extending Clause 3.3(e)'s residential-professional-use exemption to court-compound chambers, and a discrimination bar between districts served by different licensees under the same State ERC tariff. Lead authorities: *Dr. D.M. Surti v. State of Gujarat* [456043], *M.P. Electricity Board and Others v. Shiv Narayan and Another* [962390], *V. Sasidharan v. M/s Peter and Karunakar* [506405]. ¶ paras 22-34

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
Dr. D.M. Surti v. State of Gujarat AIR 1969 SC 63 [456043] Supreme Court	A professional activity, carried on by an individual through personal skill and intelligence, is fundamentally distinct from a commercial activity; associated words in a statutory list take their colour from one another (noscitur a sociis).	Followed as the foundational authority for the profession/commerce distinction.	Court	Followed
M.P. Electricity Board and Others v. Shiv Narayan and Another (2005) 7 SCC 283 [962390] Supreme Court	An advocate's office cannot be charged additional (commercial) tariff, as the legal profession is not a commercial activity; 'non-domestic' and 'commercial' are not interchangeable terms.	Followed as directly controlling.	Court	Followed
V. Sasidharan v. M/s Peter and Karunakar AIR 1984 SC 1700 / (1984) 4 SCC 230 [506405] Supreme Court	The office of a lawyer or firm of lawyers is not a 'commercial establishment' since lawyers traditionally do not carry on trade or business or render services to 'customers'.	Followed.	Court	Followed
Sudha v. President, Advocates Association, Chennai and Ors. (2010) 14 SCC 114 [143244221] Supreme Court	The legal profession is a solemn, noble calling distinct from other occupations, given its role in the administration of justice.	Cited in support.	Court	Cited
Ramanathan v. State of Kerala 1991 (1) KLJ 410 [132566351] Kerala High Court	The profession of a lawyer does not involve commercial or industrial activity, in the context of the Kerala Shops and Commercial Establishments Act.	Followed.	Court	Followed
Sakharam Narayan Kherdekar v. City of Nagpur Corporation AIR 1964 Bombay 200 [625132] Bombay High Court (Division Bench)	A lawyer's office is not a commercial establishment under the Bombay Shops and Establishments Act, given the personal-skill, intelligence, and individual-characteristics nature of the activity.	Followed.	Court	Followed
Arup Sarkar v. C.E.S.C. Limited and Others 2020 STPL 4200 Calcutta (Writ Petition No. 18367 of 2019, decided 11.2.2020) [118834377] Calcutta High Court	A litigation lawyer's chambers, used for livelihood based on personal professional skill, is not commercial activity; directed billing under 'Domestic (Urban)' category.	Followed as directly analogous precedent from another State.	Court	Followed

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
B.N. Magon v. South Delhi Municipal Corporation 217 (2015) DLT 55 [50971748] Delhi High Court	Cited by petitioner in support of the profession/commercial-activity distinction.	Cited.	Court	Cited

Clause 3.4

Supply through Independent Feeders

5 cases, in chronological order:

SCJ-101 Pawan Kumar Agarwal s/o M.P. Agarwal v. State of U.P. thru. Secretary & Ors. **2007**

SCJ-260 Purvanchal Vidyut Vitran Nigam Ltd., Bhikaripur & Anr. v. Vidyut Lokpal (Electricity Ombudsman) & Anr. **2008**

SCJ-244 Raj Narayan Singh v. State of U.P. and Others **2013**

SCJ-067 M/S Shri Parasnath Alloys (Pvt.) Ltd. v. Paschimanchal Vidyut Vitran Nigam Ltd. & Ors. **2013**

SCJ-123 Sigma Castings Ltd. & Another v. Purvanchal Vidyut Vitran Nigam Ltd. & Others (with Kundan Castings (P) Ltd.; PVVNL v. Vidyut Lokpal; M/s Shyam Ferrous Ltd.) **2013**

Pawan Kumar Agarwal s/o M.P. Agarwal v. State of U.P. thru. Secretary & Ors.

Allahabad High Court · Division Bench · 12 October 2007 · 2008 (1) AWC 158 · Writ Petition (unnumbered order) · **Writ petition allowed; condition requiring an independent feeder connection quashed**

HEADNOTE

Under Clause 3.4(a) of the U.P. Electricity Supply Code, supply through an independent feeder is mandatory only for the specifically enumerated industries (Arc/Induction furnaces, Rolling Mills, Re-rolling Mills, Mini steel plants) with a load of 1000 KVA and above — this list is not illustrative but specific and restrictive. Clause 3.4(b), by contrast, gives *other* consumers (including those enumerated in 3.4(a) but with a load below 1000 KVA, and townships/institutions/etc. with load above 500 KVA) an *option*, not an obligation, to take supply via an independent feeder; a licensee cannot compel such a consumer to bear independent-feeder costs where supply via a shared/dependent feeder is found technically feasible. A generalized concern about electricity theft does not justify insisting on an independent feeder outside Clause 3.4(a)'s mandatory scope, since the Code separately provides ample anti-theft mechanisms; the Code being statutory, its provisions must be adhered to as written.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::3.4

Clause 3.4(a)'s list of industries requiring mandatory independent-feeder supply is specific/restrictive, not illustrative; consumers outside that list (or below the 1000 KVA threshold) have only an option, not an obligation, to take an independent feeder, and cannot be compelled to bear its cost where a shared feeder is technically feasible

QUESTION

Can a licensee insist that a textile-weaving/dyeing unit (3000 KVA load, outside Clause 3.4(a)'s enumerated heavy industries) take supply only through an independent feeder (at the consumer's cost of ~Rs. 19 lakh), where supply via an existing dependent feeder has been found technically feasible?

HOLDING

No — Clause 3.4(a)'s enumerated industries (Arc/Induction furnaces, Rolling Mills, Re-rolling Mills, Mini steel plants) are specific and restrictive, not illustrative; a textile unit does not fall within it. Clause 3.4(b) gives such other consumers with load above 500 KVA merely an *option* to seek an independent feeder — it is not compulsory, and the licensee cannot insist on or compel independent-feeder supply where a dependent/shared feeder has been found technically feasible (as the respondents' own committee had found here). A generalized theft-prevention rationale does not override the Code's clear text, since the Code itself provides other anti-theft mechanisms. The condition imposed (independent-feeder connection, at ~Rs. 19 lakh cost to the consumer) was quashed, and the licensee directed to provide the sanctioned 3000 KVA connection from the existing 33 KV Fatehpur feeder within two weeks. ¶ paras 10-14

LIMITING FACTS

The petitioner applied for a new 3000 KVA connection for a weaving/dyeing textile unit; the licensee's sanction letter (6.7.2007) conditioned the connection on the consumer bearing the cost of an independent feeder (~Rs. 19 lakh), citing power-theft concerns; the licensee's own committee later found supply from the existing 33 KV Fatehpur feeder (previously used by another consumer, now permanently disconnected) technically feasible.

PRINCIPLE TAGS

`clause-3.4a-independent-feeder-list-is-restrictive-not-illustrative` Clause 3.4(a)'s enumerated heavy-industry categories requiring mandatory independent-feeder supply are specific and restrictive, not illustrative; other consumers (even at higher loads) have only the Clause 3.4(b) option, not obligation, to seek an independent feeder — directly informs how 'Independent Feeder' provisions are to be read alongside the definitional line traced in SCJ-094 (Northern Coalfield). ¶ paras 10-11

Purvanchal Vidyut Vitran Nigam Ltd., Bhikaripur & Anr. v. Vidyut Lokpal (Electricity Ombudsman) & Anr.

Allahabad High Court · Single Judge · 2 April 2008 · 2008 SCC OnLine All 376 : AIR 2008 All 127 : (2008) 5 All LJ 683 · C.M.W.P. No. 16216 of 2008 · **Writ petition dismissed; the Electricity Ombudsman's award directing temporary connection by tapping upheld**

HEADNOTE

The foundational decision on the scope of interference with an Electricity Ombudsman's award and on the independent-feeder tapping exception. (i) An Electricity Ombudsman (appointed under Section 42(6)-(7) of the Electricity Act, 2003) resolves grievances by conciliation/mediation or, failing that, by a reasoned award; where he settles by conciliation, the proceedings are challengeable only for want of jurisdiction or fraud, and in the case of an award the scope of interference is limited to grounds akin to Section 34 of the Arbitration and Conciliation Act, 1996. (ii) On the merits, Clause 3.4(d) of the U.P. Electricity Supply Code, 2005 is an exception to Clause 3.4(a): where an independent feeder cannot be constructed (here a railway track and several km of agricultural land intervened), tapping of an existing feeder may be permitted for a similar-process consumer. The Ombudsman rightly directed temporary release of the 3000 KVA connection by tapping the 33 KV Fatehpur feeder (with an independent meter for energy audit) for a model consumer suffering Rs. 50 lakh/month loss, pending the railway/farmer no-objection for an independent feeder. The licensee's objection, confined to Clause 3.4(a) without regard to the 3.4(d) exception, was rejected and the writ dismissed. (Reiterated in SCJ-258.)

HOLDING-UNITS

INTERPLAY · EA2003::42

Limited scope of interference with an Electricity Ombudsman's award/settlement

QUESTION

On what grounds may the High Court interfere with an Electricity Ombudsman's settlement or award?

HOLDING

Only on limited grounds. Where the Ombudsman settles the dispute by conciliation/mediation, the proceedings are not challengeable except for want of jurisdiction or fraud; where he makes an award, the scope of interference is confined to grounds akin to Section 34 of the Arbitration and Conciliation Act, 1996 (incapacity, want of notice, matters beyond or excepted from the reference, subject-matter not arbitrable, or conflict with public policy). The Court drew the analogy from Section 34 as the measure of permissible challenge. ¶ 8, 22-24

LIMITING FACTS

The licensee challenged the award only on the merits of Clause 3.4(a), raising no jurisdictional, natural-justice, fraud or public-policy ground.

HOLDING-UNIT · UP-2005::3.4

Tapping of an existing feeder permitted where an independent feeder cannot be constructed

QUESTION

Where Clause 3.4(a) requires supply to a 1000+ KVA furnace/rolling-mill load through an independent feeder, may a connection instead be released by tapping an existing feeder?

HOLDING

Yes, under the Clause 3.4(d) exception. Where construction of a separate feeder is not possible (non-availability of corridor/right of way/bay - here a railway track and agricultural land intervened), tapping of the independent feeder may be permitted to another connection having a similar process, which includes such furnace/rolling-mill consumers. The Ombudsman's direction for temporary tapping of the 33 KV Fatehpur feeder (with an independent meter for energy audit) was not contrary to Clause 3.4(a) but within the 3.4(d) exception, and was upheld; the licensee's objection confined to 3.4(a) ignored the exception. ¶ 9-10, 23

LIMITING FACTS

3000 KVA connection to a model consumer suffering Rs. 50 lakh/month loss; independent feeder unfeasible pending railway/farmer NOC; similar tapping earlier allowed to Nitin Ispat and Laxmi Katsin; temporary arrangement to balance equities.

PRINCIPLE TAGS

ombudsman-award-challengeable-only-on-s34-arbitration-grounds An Electricity Ombudsman's award is akin to an arbitral award, challengeable only on grounds similar to s.34 of the Arbitration and Conciliation Act, 1996; a conciliated settlement is challengeable only for want of jurisdiction or fraud. ¶ 22-24

clause-3.4d-tapping-exception-where-independent-feeder-infeasible Clause 3.4(d) allows tapping of an existing feeder for a similar-process consumer where an independent feeder cannot be constructed; a licensee cannot insist on 3.4(a) while ignoring the 3.4(d) exception. ¶ 10, 23

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE OMBUDSMAN'S AWARD MAY BE CHALLENGED ONLY UNDER SECTION 34 OF THE ARBITRATION AND CONCILIATION ACT, 1996 AS A STATUTORY ARBITRATION

Expressly left open (not argued); the Court drew only an analogy from Section 34 for the limited grounds of challenge. ¶ 24

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
Maharashtra State Electricity Regulatory Commission v. Reliance Energy Ltd. (2007) 8 SCC 381 : AIR 2008 SC 976 [SCJ-076] Supreme Court	On the CGRF/Ombudsman redressal scheme, directing wide advertisement of the provisions for redressal through the forum and the Electricity Ombudsman.	Referred and applied - similar directions issued to the UPERC to advertise the redressal mechanism. ¶ 25-26	Court	Applied
Durga Hotel Complex v. Reserve Bank of India (2007) 5 SCC 120 : AIR 2007 SC 1467 Supreme Court	On the nature and role of an Ombudsman.	Referred in explaining the office and function of the Electricity Ombudsman. ¶ 12	Court	Referred

Raj Narayan Singh v. State of U.P. and Others

Allahabad High Court · Division Bench · 5 March 2013 · 2013 SCC OnLine All 1445 · Writ - C No. 10253 of 2013 · **Writ petition disposed of; no right to object to tapping, but licensee may allow tapping only after recording feasibility that the petitioner's supply is unaffected**

HEADNOTE

Clause 3.4 of the U.P. Electricity Supply Code, 2005 (supply through independent feeders, and the conditions for tapping such feeders, including the original consumer's consent) applies only where supply is released through an independent feeder - for Arc/Induction furnaces, Rolling/Re-rolling Mills and mini steel plants of 1000 KVA and above, or (on request, bearing the charges) other loads above 500 KVA. A small consumer running a tube-well on a 2 HP / 2 KW connection, who merely deposited the cost of ordinary lines and a transformer, does not have an independent feeder and acquires no right under Clause 3.4 to object to the licensee tapping that transformer/line to supply another consumer. The Court held Clause 3.4 inapplicable, but observed that tapping should be permitted only if technically feasible and after the licensee records satisfaction that the petitioner's own supply will not be affected.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::3.4

Clause 3.4 (independent feeders / consent to tapping) does not protect a small consumer who has no independent feeder

QUESTION

Can a small tube-well consumer who deposited the cost of ordinary lines and a transformer invoke Clause 3.4 to prevent the licensee from tapping that transformer/line to supply another consumer?

HOLDING

No. Clause 3.4 governs supply through independent feeders (Arc/Induction furnaces, Rolling/Re-rolling Mills, mini steel plants of 1000 KVA and above, or other loads above 500 KVA on request) and the conditions for tapping such feeders, including the original consumer's consent. A 2 HP / 2 KW tube-well consumer who merely paid for ordinary lines and a transformer has no independent feeder and no right under Clause 3.4 to object to tapping. Tapping may nonetheless be permitted only if technically feasible and after the licensee records satisfaction that the petitioner's own supply will not be affected. ¶ **(pp. 562-564)**

LIMITING FACTS

Petitioner had a 2 KW / 2 HP tube-well connection and had deposited the cost of drawing lines and a transformer, not an independent feeder; respondent no. 5 sought a tube-well connection tapped from the same transformer/line.

PRINCIPLE TAGS

independent-feeder-original-consumer-consent The Clause 3.4 protection (consent of the original consumer before tapping) attaches only to a genuine independent feeder; it does not arise for a small consumer supplied through ordinary lines/transformer. ¶ **(pp. 563-564)**

tapping-allowed-if-feasible-and-original-supply-unaffected Even absent a right to object, tapping is permissible only where technically feasible and the licensee records that the original consumer's supply is not affected. ¶ **(p. 564)**

M/S Shri Parasnath Alloys (Pvt.) Ltd. v. Paschimanchal Vidyut Vitran Nigam Ltd. & Ors.

Allahabad High Court · Division Bench · 17 April 2013 · WRIT - C No. 58652 of 2012 · **Writ petition dismissed**

HEADNOTE

Under Clause 3.4(d)(ii) of the U.P. Electricity Supply Code, 2005, the consent required before the licensee permits another consumer to tap an independent feeder (for Arc/Induction Furnaces, Rolling Mills, Re-rolling Mills and Mini Steel Plants) is the consent of the 'original consumer' — i.e. the consumer at whose instance and cost the independent feeder itself was constructed — not of every subsequent consumer who was merely permitted to tap the already-constructed feeder on paying only the cost of the connecting line from the tapping (T-off) point to its own premises. A consumer who bore only the connection-line cost (not the feeder's own construction cost) does not thereby become a co-original-consumer whose consent is required for further downstream tapping to other similar-process consumers; that status, and the corresponding consent right, is confined to the party that actually funded the independent feeder's construction (distinguishing Kesarwani Sheetalaya, where the objecting consumer had itself obtained the original consumer's consent and shared the feeder's construction cost).

HOLDING-UNITS

HOLDING-UNIT · UP-2005::3.4

Only the consumer who funded construction of the independent feeder itself is the 'original consumer' whose consent is needed for further tapping; a mere connecting-line-cost-bearing tapping consumer is not

QUESTION

Where several consumers (having a similar furnace/rolling-mill process) are successively permitted to tap an already-constructed independent feeder, paying only the cost of their own connecting line from the tapping point, must the licensee obtain the consent of an earlier tapping consumer (who never funded the feeder itself) before permitting a further consumer to tap the same feeder, under Clause 3.4(d)(ii)?

HOLDING

No. The 'original consumer' whose consent is required under Clause 3.4(d)(ii) is the consumer at whose instance and cost the independent feeder itself was constructed — here, the consumer that paid the entire feeder-construction cost (over Rs. 1.25 crore) and was sanctioned load first. Subsequent consumers permitted to tap the feeder, who bore only the cost of their own connecting line (not the feeder's construction), do not thereby acquire 'original consumer' status or a consent right over further tapping; nor is there evidence that the petitioner itself obtained the true original consumer's consent, which would be necessary to stand in its shoes (as in Kesarwani Sheetalaya, factually distinguishable since there the objecting party had obtained consent from, and shared cost with, the true original consumer). Since the true original consumer raised no objection to the further sanction, and was not even a party to the writ, the petitioner (itself only a downstream tapping consumer) had no justiciable ground to object to a further consumer's tapping of the same feeder. ¶ unnumbered order

LIMITING FACTS

An independent feeder ('Siddhbali feeder') was constructed at the sole cost of M/s Shree Siddhbali Steels Ltd. (sanctioned first, 2.4.2009); the petitioner and two other similar-process units were subsequently sanctioned load from the same feeder by tapping, each bearing only the cost of its own connecting line (not the feeder's construction); when a fourth consumer, respondent no.3, was similarly sanctioned load by tapping (5.9.2012), the petitioner objected for want of its own consent under Clause 3.4(d)(ii), without ever having obtained or pleaded consent from the true original consumer (Siddhbali Steels, which itself raised no objection and was not a party).

PRINCIPLE TAGS

`independent-feeder-original-consumer-consent` Clause 3.4(d)(ii)'s consent requirement for tapping an independent feeder runs to the consumer who funded the feeder's construction (the 'original consumer'), not to every downstream tapping consumer who paid only its own connecting-line cost; a downstream consumer can acquire a consent right only by itself having obtained the true original consumer's consent and shared the feeder's cost (Kesarwani Sheetalaya). Lead authorities: *M/s Kesarwani Sheetalaya & Others v. Purvanchal Vidyut Vitran Nigam Ltd. & Others*, *M/s Shiv Flour and Rice Mills v. State of U.P. & Others* [477172]. ¶ **unnumbered order**

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
M/s Kesarwani Sheetalaya & Others v. Purvanchal Vidyut Vitran Nigam Ltd. & Others Civil Misc. Writ Petition No. 2309 of 2009, decided 9.10.2009 Allahabad High Court (DB)	Where a tapping consumer had itself obtained the original consumer's consent and shared the feeder's construction cost, it stands at par with the original consumer, and a further connection through tapping to another consumer without ITS consent violates Clause 3.4(d)(ii).	Distinguished — the petitioner here had not obtained the true original consumer's consent or shared the feeder's own construction cost, unlike the petitioners in Kesarwani Sheetalaya. ¶ **unnumbered order**	Petitioner	Distinguished
M/s Shiv Flour and Rice Mills v. State of U.P. & Others Civil Misc. Writ Petition No. 32927 of 2003 [477172] Allahabad High Court	Distinguishes 'service line' (Para 2.2(bb)) from 'independent feeder' (Para 2.2(ff)); without fulfilling Clause 3.4(d)'s conditions, the licensee cannot allow tapping of an independent feeder to supply another consumer running an arc/induction furnace, rolling mill or steel plant.	Cited alongside Kesarwani Sheetalaya for the general Clause 3.4/consent framework; the petitioner's reliance nonetheless failed on the 'original consumer' facts. ¶ **unnumbered order**	Petitioner	Referred
Chandu Khamaru v. Nayan Malik & Others (2011) 12 SCC 314 [864936] Supreme Court	A consumer has a statutory right under the Electricity Act, 2003 to apply for and obtain a supply of electricity, and the distribution licensee has a corresponding statutory obligation to supply it, notwithstanding a private dispute over the passage/right of way for the line.	Relied on by the successful respondent to support the statutory right to obtain a fresh connection/tapping. ¶ **unnumbered order**	Respondent	Relied on
Punjab State Electricity Board Ltd. v. Zora Singh & Others JT 2005 (7) SC 258 [1101587] Supreme Court	The Board must supply electrical energy to consumers within a reasonable period, in order of seniority of application, per its own circulars/regulations, and must notify applicants of reasons for any delay.	Relied on by the successful respondent to reinforce the statutory duty to supply on request. ¶ **unnumbered order**	Respondent	Relied on

Sigma Castings Ltd. & Another v. Purvanchal Vidyut Vitran Nigam Ltd. & Others (with Kundan Castings (P) Ltd.; PVVNL v. Vidyut Lokpal; M/s Shyam Ferrous Ltd.)

Allahabad High Court · Division Bench · 12 September 2013 · Civil Misc. Writ Petition No. 3467 of 2008 (connected with Nos. 3466, 16216, 44169 of 2008) · **Writ petitions disposed of variously — bank-guarantee conditions quashed; independent-feeder requirement upheld; Electricity Ombudsman's award quashed**

HEADNOTE

Clause 3.4(a) of the U.P. Electricity Supply Code, 2005's mandatory independent-feeder requirement for load of 1000 KVA and above to Arc/Induction furnaces, Rolling Mills, Re-rolling Mills and Mini steel plants applies to BOTH new connections AND applications for enhancement of load — whether or not the enhancement results in a change of system or voltage of supply under Clause 4.43(b)/(c) — since Clause 3.4 is a substantive provision using the word 'only', which cannot be rendered otiose by a narrower reading of Clause 4.43 (a purely procedural/time-frame provision); harmonious construction requires reading Clause 4.43 together with, not in isolation from, Clause 3.4. A licensee's mixed feeder (serving multiple unrelated consumers/processes) is not an 'independent feeder' within Clause 2.2(ff), so Clause 3.4(d)'s tapping-permission provision (for independent feeders where separate-feeder construction is infeasible) cannot be invoked to justify tapping a mixed feeder for Clause 3.4(a)-covered industries. An Electricity Ombudsman's award must be consistent with the Act and the Supply Code (Regulation 11, UPERC Consumer Grievance Redressal Forum & Ombudsman Regulations, 2007); an award directing supply via a mixed feeder in derogation of Clause 3.4(a) exceeds the Ombudsman's jurisdiction and is quashed, following Punjab SEB v. Vishwa Calibere Builders (Ombudsman cannot direct regularisation/relief absent statutory/regulatory basis). A prior instance of a licensee mistakenly or inadvertently supplying another Clause 3.4(a) consumer via a mixed feeder cannot found a claim of discriminatory treatment under Article 14, since Article 14 does not guarantee negative equality (following Chandigarh Administration v. Jagjit Singh; State of Orissa v. Mamata Mohanty).

HOLDING-UNITS

HOLDING-UNIT · UP-2005::3.4

Clause 3.4(a)'s mandatory independent-feeder requirement for the specified heavy industries applies to load-enhancement applications as well as new connections, regardless of whether the enhancement changes the system/voltage of supply under Clause 4.43(b)/(c)

QUESTION

Does Clause 3.4(a)'s mandatory independent-feeder requirement (for load of 1000 KVA and above to specified heavy industries) apply only to new connections/Clause 4.43(c) enhancements involving a system/voltage change, or does it also apply to Clause 4.43(b) enhancements not involving such a change?

HOLDING

Clause 3.4(a) applies to both. It is wide enough, and uses the word 'only', to cover both new connections and additional-load applications without qualification — Clause 4.43 (which only prescribes time-frames/procedure) cannot be read to narrow this substantive requirement; a harmonious construction requires reading Clause 4.43 alongside, not divorced from, Clause 3.4. Accordingly, after the Supply Code's 18.2.2005 commencement, any release of 1000 KVA-plus load to Clause 3.4(a) industries — whether by new connection or load enhancement, and whether or not it changes the system/voltage — must be through an independent feeder. ¶ paras 17-28

LIMITING FACTS

Sigma Castings and Kundan Castings sought enhancement of already-sanctioned high-tension loads (from 2700 to 5700 KVA, and 3410 to 6510 KVA respectively) via their existing mixed 33 KV feeders, arguing their applications (not involving a system/voltage change) fell under the lighter Clause 4.43(b) procedure and outside Clause 3.4's independent-feeder mandate.

HOLDING-UNIT · UP-2005::2.2(ff)

A licensee's mixed feeder is not an 'independent feeder' under Clause 2.2(ff), so Clause 3.4(d)'s tapping-permission provision cannot justify an Electricity Ombudsman directing supply of a Clause 3.4(a)-covered load via a mixed feeder; such an award, being inconsistent with the Supply Code, exceeds the Ombudsman's Regulation 11 jurisdiction and is quashed

QUESTION

Can the Electricity Ombudsman direct a licensee to supply Clause 3.4(a)-covered load (1000 KVA+) via its existing mixed feeder (rather than a newly-constructed independent feeder), relying on Clause 3.4(d)'s tapping-permission provision and on instances of the licensee having previously done so for other consumers?

HOLDING

No. Clause 2.2(ff) defines 'independent feeder' as one supplying a single consumer or group of consumers with a similar process; a mixed feeder serving thousands of differently-processed industries (here, ~5110-11250 industries) does not qualify, so Clause 3.4(d) (which permits tapping of an existing independent feeder where separate-feeder construction is infeasible) has no application to a mixed feeder. The Electricity Ombudsman's award directing supply via the mixed feeder — vague as to duration and contrary to Clause 3.4(a) — exceeded its Regulation 11 jurisdiction (which confines awards to what is consistent with the Act and Supply Code, per Punjab SEB v. Vishwa Calibere Builders) and was quashed. Prior instances of the licensee mistakenly supplying other Clause 3.4(a) consumers via the mixed feeder (M/s Nitin Spat) do not found a valid discrimination claim, since Article 14 guarantees no negative equality (Chandigarh Administration v. Jagjit Singh; State of Orissa v. Mamata Mohanty) — a prior illegality cannot be perpetuated on that ground. ¶ paras 29-48

LIMITING FACTS

M/s Shyam Ferrous Ltd. sought a new 3000 KVA connection via the same 33 KV Fatehpur mixed feeder, obtaining a favourable Electricity Ombudsman award (18.1.2008) directing PVVNL to supply via that feeder, citing difficulty (railway line, agricultural land crossing) in constructing an independent feeder and pointing to two prior consumers (M/s Laxmi Cotsyn, M/s Nitin Spat) supplied via the same mixed feeder.

HOLDING-UNIT · UP-2005::4.49

A condition requiring a bank guarantee for alleged 'arrears' as a precondition to releasing enhanced load is quashed where the underlying assessment giving rise to the alleged arrears was already conclusively revised and paid, with the revision having attained finality; the licensee may, however, later demand a guarantee for genuinely subsequently-arising dues

HOLDING

The Rs. 3.74 crore bank-guarantee condition imposed on Sigma Castings (and, derivatively, on its purported sister-concern Kundan Castings) was quashed, since the underlying 1995 theft-based assessment had been conclusively revised down (from Rs. 3.39 crore to Rs. 9.68 lakh) and paid, with the revision upheld and attained finality in a 2006-dismissed writ petition by UPPCL — a fact PVVNL's counter affidavit did not deny. However, it was left open to PVVNL to require the consumer to clear (or furnish a guarantee for) any dues genuinely accrued since the December 2007 office memorandum (e.g. dishonoured cheques, peak-hour penalties, unpaid current bills), since raising this did not amount to impermissibly supporting the original order on undisclosed grounds. ¶ paras 49-53

LIMITING FACTS

PVVNL demanded a Rs. 3.74 crore bank guarantee from Sigma Castings (and an identical guarantee from Kundan Castings, alleged to be its sister concern) as a condition of releasing enhanced load, based on a stale, already-superseded 1995 theft assessment.

PRINCIPLE TAGS

clause-3.4a-covers-enhancement-not-just-new-connections Clause 3.4(a)'s mandatory independent-feeder requirement for the specified heavy industries applies to load-enhancement applications as well as new connections — a significant clarification refining SCJ-101 (Pawan Kumar Agarwal) and SCJ-094 (Northern Coalfield) on the scope of Clause 3.4. ¶ paras 24-28

mixed-feeder-not-independent-feeder-ombudsman-cannot-override-code A mixed feeder serving multiple unrelated consumers is not an 'independent feeder' under Clause 2.2(ff); an Electricity Ombudsman award directing supply via a mixed feeder in derogation of Clause 3.4(a) exceeds Regulation 11 jurisdiction and is quashed. Lead authorities: *Punjab State Electricity Board v. Vishwa Calibere Builders Pvt. Ltd.*. ¶ paras 29-39

no-negative-equality-in-electricity-supply-decisions A licensee's prior mistaken/inadvertent supply of another similarly-situated consumer via a non-compliant route cannot be invoked to compel repetition of that illegality for a different consumer — Article 14 does not guarantee negative equality. Lead authorities: *Chandigarh Administration v. Jagjit Singh* [373000], *State of Orissa v. Mamata Mohanty*. ¶ paras 43-48

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — QUANTUM OF ANY POST-DECEMBER-2007 ARREARS (DISHONOURED CHEQUES, PEAK-HOUR PENALTIES, UNPAID CURRENT BILLS) AGAINST SIGMA CASTINGS

Left open for PVVNL to examine and, if warranted, issue fresh orders/demand a guarantee. ¶ para 51

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
Punjab State Electricity Board v. Vishwa Calibere Builders Pvt. Ltd. (2010) 4 SCC 539 Supreme Court	In the absence of a provision in the Act or Regulations, an Electricity Ombudsman commits jurisdictional error by directing regularisation of unauthorised use of electricity or refund of alleged excess charges.	Applied as the controlling authority on the limits of Ombudsman jurisdiction.	Respondent (PVVNL)	Followed
Canara Bank v. P.R.N. Upadhyaya & Others (1998) 6 SCC 526 Supreme Court	A Banking Ombudsman (analogous statutory scheme) is bound by governing circulars/directions and cannot issue directions in ignorance of them.	Applied by analogy to confirm the Electricity Ombudsman's award must conform to the governing Supply Code.	Court	Followed
Pawan Kumar Agrawal v. State of U.P. & Others Writ Petition No. 31019 of 2007, judgment dated 12.10.2007 Allahabad High Court	M/s Laxmi Cotsyn Ltd. (a textile-dyeing industry) is not covered by Clause 3.4(a) and cannot be compelled to construct an independent feeder at its own cost; it is entitled to a new connection from the existing mixed feeder.	Distinguished as involving a non-Clause-3.4(a) industry, unlike the petitioners here who conceded coverage by Clause 3.4(a).	Petitioners (for discrimination plea)	Distinguished
Chandigarh Administration v. Jagjit Singh 1995 (1) SCC 745; AIR 1995 SC 705 [373000] Supreme Court	The mere fact an authority passed a particular (possibly illegal) order for another similarly-situated person cannot found a discrimination-based claim to have that illegality repeated; Article 14 does not envisage negative equality.	Applied to reject the discrimination plea based on the Nitin Spat precedent.	Court	Followed
State of West Bengal v. Dabasish Mukherjee (2011) 14 SCC 187 [1043630] Supreme Court	Equality before law is a positive concept, not enforceable negatively; an inadvertent illegal benefit to one person does not confer a legal right on others to the same benefit.	Applied for the negative-equality principle.	Court	Followed
State of Orissa v. Mamata Mohanty (2011) 3 SCC 436 Supreme Court	Article 14 is not meant to perpetuate illegality and does not envisage negative equality; an inadvertent benefit granted to others does not confer a right to the same relief.	Applied alongside Chandigarh Administration and Dabasish Mukherjee for the negative-equality principle.	Court	Followed

U.P. ELECTRICITY SUPPLY CODE, 2005 · CHAPTER 3 — GENERAL CONDITIONS OF SUPPLY

Clause 3.8

Tariff — No Retrospective Effect

1 case, in chronological order:

SCJ-066 M/S Shokumbhari Pulp & Paper Mills Ltd. v. U.P. Power Corporation Ltd. & 3 Others (with connected petitions) **2014**

M/S Shokumbhari Pulp & Paper Mills Ltd. v. U.P. Power Corporation Ltd. & 3 Others (with connected petitions)

Allahabad High Court · Division Bench · 1 April 2014 · WRIT - C No. 13514 of 2014 (with connected WRIT - C Nos. 17090 and 15122 of 2014) · **Writ petitions allowed; retrospective application of the tariff notification quashed**

HEADNOTE

A revised electricity tariff notified by the U.P. Electricity Regulatory Commission and published by the licensee cannot be given retrospective effect. Under Clause 3.8(a) of the U.P. Electricity Supply Code, 2005 (read with Section 24(7) of the U.P. Electricity Reforms Act, 1999 and Regulation 139(2) of the UPERC (Conduct of Business) Regulations, 2004), a tariff takes effect only seven days after the date of its publication in at least two widely-circulating daily newspapers; there is no statutory power to notify a tariff revision applicable from a date preceding its publication. A licensee's notification purporting to apply a revised tariff from a date before the seven-day publication window is quashed, and any amount realised on that retrospective basis must be adjusted in the consumers' future bills.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::3.8

A revised tariff cannot be applied retrospectively to a date preceding its publication

QUESTION

Can a licensee apply a revised tariff (approved by the Regulatory Commission and published/notified in October 2012) retrospectively from a date preceding the notification/publication?

HOLDING

No. Clause 3.8(a) of the Supply Code, read with Section 24(7) of the Reforms Act, 1999 and Regulation 139(2) of the 2004 Conduct of Business Regulations, provides that a published tariff takes effect only seven days after the last date of its publication in at least two widely-circulating daily newspapers, and remains in force until amended and published afresh; none of these provisions empowers retrospective application. Following Binani Zinc Ltd. v. Kerala SEB (the Regulatory Commission has not been empowered to frame tariff with retrospective effect, and all laws are presumptively prospective absent express provision or necessary intendment to the contrary), the licensee's notification purporting to apply the revised tariff from 1.10.2012 — though published only on 23.10.2012 and notified on 25.10.2012 — was without legal authority. The tariff was held effective only from 1.11.2012, and amounts realised on the earlier (retrospective) basis were directed to be adjusted in the consumers' future bills. ¶ unnumbered order

LIMITING FACTS

The U.P. Electricity Regulatory Commission determined a revised tariff on 19.10.2012, which the licensee published on 23.10.2012 and notified on 25.10.2012, but purported to make applicable with effect from 1.10.2012 — a date before either the Commission's determination or the publication.

PRINCIPLE TAGS

tariff-no-retrospective-effect A revised tariff takes effect only from seven days after its publication (Clause 3.8 of the Supply Code / s.24(7) Reforms Act / Regulation 139); it cannot be applied retrospectively to an earlier date, following Binani Zinc's presumption against retrospective statutory/regulatory effect. Lead authorities: *Binani Zinc Ltd. v. Kerala State Electricity Board & Ors.* [1350255]. ¶ unnumbered order

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
Binani Zinc Ltd. v. Kerala State Electricity Board & Ors. 2009 (11) SCC 244	The regulatory commission has not been empowered to frame tariff with retrospective effect covering a period before its own constitution/determination; the rule	Followed and applied to quash the retrospective tariff notification. ¶ unnumbered order	Petitioner	Followed

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
[1350255] Supreme Court	of law postulates that all laws are prospective, absent an express provision or necessary intendment to the contrary.			